

**IN THE COURT OF COMMON PLEAS
KNOX COUNTY, OHIO
CIVIL DIVISION**

**STATE OF OHIO, ex rel. DAVE YOST,
ATTORNEY GENERAL**

Plaintiff,

V.

**THE LANDINGS PROPERTY OWNERS
ASSOCIATION, INC., et al.,**

Defendants.

MULLINS BROS. LTD.,

Third-Party Plaintiff,

v.

CAROL A. DIDINGER, TRUSTEE, et al.,

Third-Party Defendants.

Case No. 20IN06-0149

VISITING JUDGE JAMES L. KIMBLER

**PLAINTIFF STATE OF OHIO'S
SUPPLEMENTAL MEMORANDUM**

Pursuant to the Court's February 23, 2024 Journal Entry, Ohio Attorney General Dave Yost on behalf of the State of Ohio, by and through his undersigned assistants, respectfully submits this Supplemental Memorandum to address the five issues raised by the Court relating to the ownership of the land on which the Knox Cattle Company Dam and Lake ("Dam" and "Lake") are located and an additional issue that may also be relevant to that question for the Court's consideration.

ISSUE 1: What happens to the ownership of land that is owned by a non-profit corporation when its Articles of Incorporation are cancelled for failure to file a statement of continued existence?

Response: *When a nonprofit corporation's Articles of Incorporation are cancelled for failure to file a statement of continued existence, the corporation retains ownership of its land unless and until its affairs are wound up and its assets are distributed.*

When the Ohio Secretary of State cancels a nonprofit corporation's Articles of Incorporation ("Articles") for failure to file a statement of continued existence, it does not terminate the corporation as a legal entity, liquidate its assets, or satisfy its liabilities. Rather, once a nonprofit corporation's Articles have been cancelled, the corporation has two options: wind up its affairs or obtain reinstatement. R.C. 1702.49(A) (the corporation "shall continue as a corporation" for purposes of winding up its affairs or seeking reinstatement.)

On March 2, 2015, the Secretary of State cancelled the Articles of Incorporation of Defendant The Landings Property Owners Association, Inc. ("Association") for failure to file a statement of continued existence. The Association has neither sought reinstatement, nor wound up its affairs. Therefore, the Association still exists as a legal entity and retains the property it owned before its Articles were cancelled. *See Commonwealth Tel. Co. v. Bowers*, 174 Ohio St. 141, 143, 187 N.E.2d 30 (1962) ("A corporation in Ohio continues to exist after a certificate of dissolution has been filed and continues to exist until it has been completely liquidated."); *Hamm v. Lorain Coal & Dock Co.*, 7th Dist. Belmont No. 20 BE 0030, 2022-Ohio-1305, ¶ 28 (Citations omitted.) ("Even years after the articles of incorporation have been cancelled, a corporation can still inherit property. The corporation can exist as a de jure corporation for the purpose of winding up corporate affairs. A defunct corporation continues on for the purpose of winding up its affairs and consequently can sue or be sued.").

ISSUE 2: Was any action filed in the Knox County Common Pleas Court pursuant to R.C. 1702.50?

Response: *No action has been filed under R.C. 1702.50 in the Knox County Common Pleas Court relating to the Association.*

The State is not aware of and can find no record of any action filed in the Knox County Common Pleas Court under R.C. 1702.50 related to the Association. To the State's knowledge, the only case filed against the Association in the Knox County Common Pleas Court is this dam safety action.

ISSUE 3: Who does the Knox County Auditor show as owning the parcels of land on which the dam and lake are located?

Response: *The Knox County Auditor shows the Association as owning the parcels of land on which the Dam and Lake are located.*

The Lake and the Dam sit almost entirely upon one parcel: 66-09675.162. According to the Knox County Auditor's website, that parcel is and has been owned by "Landings Property Owners Assn (The)" since Defendant Mullins Bros. Ltd. ("Mullins Bros.") transferred that parcel to the Association on August 1, 2007.

The spillway and a small portion of the Dam's embankment are located on parcels 66-09675.170, 66-09675.169, 66-09675.165, 66-09675.168, and 66-09675.167. The Knox County Auditor's website shows that those parcels are and have been owned by "The Landings Property Owners Association Inc." since adjacent property owners transferred them to the Association between August 24, 2020 and September 2, 2020, after the State filed its initial complaint in this case on June 10, 2020.

ISSUE 4: Could any party to this litigation file an action under R.C. 1702.50 directing the Common Pleas Court to determine what happens to the assets that were owned by the Association at the time its Articles were cancelled?

Response: A party to this litigation could file an action under R.C. 1702.50 in the Knox County Common Pleas Court seeking that the Court oversee the winding up of the Association's affairs, if that party is the Association itself, a majority of its directors, or a creditor or member of the Association.

R.C. 1702.50 relates to the authority of a court of common pleas to oversee the winding up of a nonprofit corporation's affairs when its Articles have been cancelled, and provides:

Without limiting the generality of its authority, the court of common pleas of the county in this state in which is located the principal office of a voluntarily dissolved corporation or of a corporation whose articles have been canceled or whose period of existence has expired, upon the complaint of the corporation, a majority of the directors, or a creditor or member, and upon such notice to all the directors and such other persons interested as the court considers proper, at any time may order and adjudge in respect to the following matters: * * *.

(Emphasis added.) R.C. 1702.50. The matters listed in R.C. 1702.50(A)(1) – (11) relate to a variety of issues concerning the winding up of the corporation's affairs.

A complaint under R.C. 1702.50 may only be filed by the nonprofit corporation, a majority of its directors, or a creditor or member. Therefore, the Association, directors of the Association, and the Phase 7 and 8 residents (as members of the Association) are all parties to this litigation who could file an action under R.C. 1702.50.

The Association has always been a named Defendant in this dam safety action, but has never filed anything in this case.

The directors of the Association would be "persons vested with the authority to conduct the affairs of the corporation irrespective of the name, such as trustees, by which they are designated." R.C. 1702.01(K). There are several people who were at one time and may still be a director of the Association.

For example, Steve Mullins set up the Association, served as its authorized agent, collected dues on its behalf, and called a meeting to elect directors and hand over control of the Association. (Mullins Affidavit, December 20, 2023, ¶ 5, 15, 17-18). Mr. Mullins admitted that he was “probably” an officer of the Association when it was first incorporated. (Mullins Deposition, Volume II, Nov. 29, p. 229). Mr. Mullins’s actions and testimony demonstrate that he was a director of the Association at one time. However, he stated in his affidavit that he relinquished all responsibilities for the Association’s affairs before its Articles were cancelled. (Mullins Affidavit, December 20, 2023, ¶ 5, 16-21). In his affidavit, Mr. Mullins stated that “to the best of [his] knowledge,” Derk Demaree and Cloyd Yough held “positions of authority” within the Association after he relinquished control of the Association. (Mullins Affidavit, December 20, 2023, ¶ 22).

Cloyd Yough signed and filed a tax-exemption form on October 26, 2011, as a “trustee” on behalf of the Association. (Yough’s Deposition, p. 81, 88, 99 and Exhibit 31). Mr. Yough’s actions and testimony demonstrate that he was a director of the Association, *see* R.C. 1702.01(K), and there is no indication that he ever relinquished his role as a director of the Association. Similarly, George Bertko signed a statement of continued existence on February 19, 2010, on behalf of the Association as a “trustee” or “corporate officer.” (attached as Exhibit 1). He remained on file with the Secretary of State as the statutory agent for the Association through March 2, 2015, the date the Secretary of State cancelled the Association’s Articles for failure to file a statement of continued existence. (attached as Exhibit 2). Mr. Bertko’s actions demonstrate that he was a director of the Association, *see* R.C. 1702.01(K), and there is no indication that he ever relinquished that role.

Additionally, if the Court finds that the State is a “creditor” of the Association, then the

State could file an action under R.C. 1702.50. The definition of "creditor" includes "one who has a right to require the fulfillment of an obligation or contract." Black's Law Dictionary 368 (6th Ed.1990); *see Gracetech Inc. v. Perez*, 2020-Ohio-3595, 154 N.E.3d 1123, ¶ 16 (8th Dist.), citing Bouvier Law Dictionary (2012) ("One to whom payment or performance is owed."). If the Court finds that the State is a "creditor" of Association because the Association is the owner of the Dam with a statutory obligation to operate and maintain its Dam in accordance with Ohio's dam safety laws, and the State has the right to enforce that obligation, then the State could file a complaint against the Association under R.C. 1702.50. *See* R.C. 1521.062.

ISSUE 5: If such an action was filed, would the Knox County Common Pleas Court have the power to order the title to the land transferred to a governmental body or to another nonprofit corporation?

Response: *There is no statutory mechanism by which the Knox County Common Pleas Court may order a governmental entity or another nonprofit corporation to undertake the obligations of the Association.*

Other than a voluntary acquisition, the State is not aware of any legal authority for the Court to order a governmental body or another nonprofit corporation to take on the liabilities or assets of a mutual benefit nonprofit corporation such as the Association.

If the Association was a "public benefit corporation" rather than a "mutual benefit corporation", its assets would be required to be distributed to another public benefit corporation, the State, a political subdivision, or a person exempt from taxes under 501(c)(3). R.C. 1702.01(P). However, the Association is not a "public benefit corporation."

The term "public benefit corporation" is defined as:

[A] corporation that is recognized as exempt from federal income taxation under section 501(c)(3) of the "Internal Revenue Code of 1986," 100 Stat. 2085, 26 U.S.C. 1, as amended, or is organized for a public or charitable purpose and that upon dissolution must distribute its assets to a public benefit corporation, the United States, a state or any political subdivision of a state, or

a person that is recognized as exempt from federal income taxation under section 501(c)(3) of the "Internal Revenue Code of 1986," as amended. " * * *.

R.C. 1702.01(P). A "mutual benefit corporation" is defined as "any corporation organized under this chapter other than a public benefit corporation." R.C. 1702.01(O).

There is no indication that the Association is a 501(c)(3) organization, nor was it organized for a public or charitable purpose. On the contrary, the Association was organized for a private purpose – to maintain private property in a single development that is not open to the public. *See* Articles of Incorporation for the Association and Declarations for Phases 7 and 8 (Exhibits 1, 4 and 6 to Mullins Deposition, Volume I, Oct. 10).

While the property upon which the Lake and Dam are located is tax exempt pursuant to a March 27, 2012 decision issued by the tax commissioner, the commissioner's decision applies to the property owned by the Association, not to the Association itself. "[A]ny institution, irrespective of its charitable or non-charitable character, may take advantage of a tax exemption if it is making exclusive charitable use of its property." *Highland Park Owners v. Tracy*, 71 Ohio St.3d 405, 407, 644 N.E.2d 284 (1994) (where the Court held that lake front property purchased by a nonprofit homeowners association and maintained as a park open to the public was exempt from taxation under R.C. 5709.12.).

Even if a governmental body could be required to accept the Association's assets and liabilities – and they cannot – that would run contrary to sound public policy and set a dangerous precedent. It would encourage other associations to avoid statutory responsibility for their private dams by simply allowing their Articles to be cancelled, and wrongly forcing public taxpayers to shoulder their private costs.

ADDITIONAL ISSUE: If the Court declares that the Association is the owner of the Dam, can the State amend its Complaint in this action under R.C. 1702.49 and seek an Order from the Court that, because its

Articles have been cancelled, the Association is required to wind up its affairs, including its obligations as the Dam's owner?

Response: *Yes, if the Association is declared to be the owner of the Dam, the State can amend its Complaint in this action under R.C. 1702.49 to seek an Order from the Court requiring the Association to wind up its affairs, including its obligations as the Dam's owner.*

Pursuant to R.C. 1702.49, when a nonprofit corporation's Articles are cancelled, it can only do those activities required to wind up its affairs or to seek reinstatement of its Articles. R.C. 1702.49(A). To wind up its affairs, "the directors of the corporation and their survivors or successors shall act as a board of directors in accordance with the regulations and bylaws until the affairs of the corporation are completely wound up." R.C. 1702.49(D). Before the assets of the corporation can be distributed, the directors must pay or adequately provide for the payment of all known obligations of the corporation. R.C. 1702.49(D). Once the directors have paid the obligations or adequately provided for payment of the obligations, they must distribute any remaining assets in accordance with R.C. 1702.49(D)(1)-(3).

The property upon which the Dam and the Lake are located is an asset of the Association. *See Black's Law Dictionary* 117 (6th Ed.1990) (defining "asset" as "property of all kinds, real and personal * * *.") But the property is accompanied by an obligation because the Dam requires repair and maintenance. *See State ex rel. Petro v. Pure Tech Sys.*, 8th Dist. Cuyahoga No. 101447, 2015-Ohio-1638, ¶ 28 (separating the land itself, which is an asset, from the environmental liability accompanying the land, and stating, "The law is clear that when there is a transfer of assets involving real property on which hazardous wastes are generated, stored and spilled, the liability accompanying the asset also transfers.").

R.C. 1702.49(D)(3) requires that the assets be distributed in accordance with the Articles or regulations, by a plan adopted by voting members, or by a plan adopted by the

directors. If none of those options apply, the Attorney General may bring an action asking the Court to oversee the application of the assets. R.C. 1702.49(D)(3) states:

If no plan of distribution is so adopted by the voting members or directors, then the remaining assets shall be applied as may be directed by the court of common pleas of the county in this state in which the principal office of the corporation is located, in an action brought for that purpose by the mutual benefit corporation or by the directors or any thereof, or by the attorney general in a court of competent jurisdiction, or in an action brought as provided in section 1702.50 of the Revised Code for the purpose of winding up the affairs of the corporation under the supervision of the court.

(Emphasis added.)

The Association's Articles are silent as to how its assets should be distributed, and it does not have any regulations. There is no plan of distribution adopted by voting members or the directors. Accordingly, the Association's assets shall be applied as may be directed by the court of common pleas in the county in which its principal office is located – the Knox County Court of Common Pleas – in an action brought for that purpose by the Association, its directors, the Ohio Attorney General, or under R.C. 1702.50.

The State, through the Attorney General, has statutory authority to file an action under R.C. 1702.49 to force the Association to wind up its affairs. That would include its obligations as the owner of the Dam if the Association is declared to be the Dam's owner. Therefore, if the Court declares that the Association is the owner of the Dam, the State will amend its Complaint to include appropriate claims under R.C. 1702.49 seeking an Order to force the winding up of the Association's affairs, including its obligations under Ohio's dam safety laws as the owner of the Dam.

Respectfully submitted,

DAVE YOST
Ohio Attorney General

/s/ Joseph Wambaugh
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Counsel for Plaintiff, the State of Ohio

CERTIFICATE OF SERVICE

I hereby certify that the foregoing was served by email and/or regular mail on March 26, 2024, upon the following:

<i>Via Email</i> Kelli J. Amador Thomas J. Bonasera William M. Mattes DINSMORE & SHOHL, LLP 191 W. Nationwide Blvd., Suite 200 Columbus, Ohio 43215 Email: thomas.bonasera@dinsmore.com kelli.amador@dinsmore.com bill.mattes@dinsmore.com Attorneys for Defendant Mullins Bros. Ltd.	<i>Via Email</i> City of Mount Vernon c/o P. Robert Broeren, Jr., Esq. City Law Director 5 North Gay Street, Suite 222 Mount Vernon, Ohio 43050 probertbroeren@mountvernonohio.org Attorney for Defendant City of Mount Vernon
<i>Via Email</i> Stephen P. Samuels, Esq. Christina Wieg, Esq. Frost Brown Todd 10 W. Broad Street, Suite 2300 Columbus, Ohio 43215 ssamuels@fbtlaw.com cwieg@fbtlaw.com Attorneys for Defendant City of Mount Vernon	<i>Via Email</i> Noel B. Alden, Esq. Zelkowitz, Barry & Cullers, Ltd. 103 South Main Street Mount Vernon, Ohio 43050 nalden@zbcclaw.com Attorney for Amy E. Badertscher and Michael C. Reilly
<i>Via Email</i> Stephen E. Chappellear, Esq. Kyle D. Tucker, Esq. Eastman & Smith Ltd. 100 E. Broad Street, Suite 2100 Columbus, Ohio 43215 sechappellear@eastmansmith.com kdtucker@eastmansmith.com Attorneys for Long Third-Party Defendants	<i>Via Email</i> Kenneth E. Lane, Esq. 812 Coshocton Avenue, #101 Mount Vernon, Ohio 43050 laneoffices@gmail.com Attorney for Defendant Michele D. Lane
<i>Via Email</i> Gary and Julie Fisher and Iris Morales 26 Wildwood Lane East Mount Vernon, Ohio 43050 femaleundercov@yahoo.com Pro Se Defendants	<i>Via Email</i> Cynthia A. Cunningham, Esq. Kidwell & Cunningham, Ltd. 112 North Main Street Mount Vernon, Ohio 43050 ccunningham@kclawohio.com Pro Se Defendant
<i>Via Email</i> John Witham Kristen Witham drkristenwitham@gmail.com Defendant	<i>Via Email</i> Nuh and Asiye Aydin 5 Longvue Court Mount Vernon, Ohio 43050 nuhaydin@gmail.com sueda.aydin@yahoo.com Defendant
<i>Via Email</i> Mark Stoessel - markstoessel@yahoo.com Sara Stoessel -	<i>Via Email</i> Phillip and Helena Curry 63 Woodlake Trail

sarastoessel@62020@gmail.com <i>Defendant</i>	Mount Vernon, Ohio 43050 phillipwcurry@gmail.com helenacurry7@gmail.com <i>Defendant</i>
<i>Via Email</i> Deborah Forsythe - missdeb.forsythe@gmail.com <i>Defendant</i>	<i>Via Email</i> Chad Taylor submakersinc@gmail.com <i>Defendant</i>
<i>Via Email</i> Karen L. Cherup Kcherup0506@yahoo.com <i>Defendant</i>	<i>Via Email</i> Matthew A. Cherup Matthew33308@yahoo.com <i>Defendant</i>
<i>Via Email</i> Enon Banda Deborah Banda deborahbanda@me.com <i>Defendant</i>	<i>Via Email</i> Carol A. Diding Cddiding1937@gmail.com <i>Defendant</i>
<i>Via Regular Mail</i> The Landings Property Owners Association, Inc. c/o George Bertko, Registered Agent P.O. Box 336 Mount Vernon, Ohio 43050 <i>Defendant</i>	<i>Via Regular Mail</i> Daniel Risser and Cara Salmon Risser 43 Wildwood Lane West Mount Vernon, Ohio 43050 <i>Defendant</i>

/s/ Joseph Wambaugh _____
Joseph Wambaugh
(0098546)



DATE	DOCUMENT ID	DESCRIPTION	FILING	EXPED	PENALTY	CERT	COPY
02/25/2010	201005500732	CERTIFICATE OF CONTINUED EXISTENCE (CCE)	25.00	.00	.00	.00	.00

Receipt

This is not a bill. Please do not remit payment.

THE LANDINGS PROPERTY OWNERS ASSOC
PO BOX 336
MOUNT VERNON, OH 43050

STATE OF OHIO CERTIFICATE

Ohio Secretary of State, Jennifer Brunner

1529613

It is hereby certified that the Secretary of State of Ohio has custody of the business records for
THE LANDINGS PROPERTY OWNERS ASSOCIATION, INC.

and, that said business records show the filing and recording of:

Document(s):
CERTIFICATE OF CONTINUED EXISTENCE

Document No(s):
201005500732



United States of America
State of Ohio
Office of the Secretary of State

Witness my hand and the seal of the
Secretary of State at Columbus, Ohio
this 19th day of February, A.D. 2010.

Ohio Secretary of State

EXHIBIT

1



Ohio Secretary of State
 Central Ohio: (614) 466-3910
 Toll Free: 1-877-SOS-FILE (1-877-767-3453)

STATEMENT OF CONTINUED EXISTENCE OF CORPORATION - NOT FOR PROFIT

The undersigned, a trustee, officer, or three members in good standing of the corporation named below, hereby verifies/verify that the corporation is still actively engaged in exercising its corporate privileges, and that:

1. The Charter Number is: **1529613**
2. The exact corporate name is:
THE LANDINGS PROPERTY OWNERS ASSOCIATION, INC.
3. The city, village or township in which its principal office is located is:
MOUNT VERNON
4. The county in which its principal office is located is: **KNOX**
5. The date of its incorporation is: **April 1, 2005**
6. The name of the current statutory agent is:

GEORGE BERTKO

7. The complete address of the current statutory agent is:

PO BOX 336

MOUNT VERNON OH. 43050

(P. O. Box addresses are not acceptable)

This document is signed by a trustee, corporate officer, or three members in good standing.

By: George S. Bertko

Note: If a new agent has been appointed on line 6 above, that agent must acknowledge his/her acceptance of such appointment below.

ACCEPTANCE OF APPOINTMENT

The undersigned, George Bertko, named herein as the statutory agent for the corporation in line 2 of this statement, hereby acknowledges and accepts the appointment of statutory agent.

George Bertko

Signature of Statutory Agent

2010 FEB 19 PM 1:25



JON HUSTED
OHIO SECRETARY OF STATE

180 East Broad Street, 16th Floor | Columbus, Ohio 43215
Tel: (877) 767-6446 | Fax: (614) 644-0649 | www.OhioSecretaryofState.gov

Mail To:
GEORGE BERTKO
PO BOX 336
MOUNT VERNON, OH 43050

-----cut along dotted line-----



The State of Ohio
 Certificate

Secretary of State - Jon Husted

1529613

It is hereby certified that the Secretary of State of Ohio has custody of the business records for THE LANDINGS PROPERTY OWNERS ASSOCIATION, INC. and that said business records show the recording of:

CANCELLATION
CANCELED/FAILURE TO FILE/STATEMENT CONT. EXISTENCE

United States of America
State of Ohio
Office of the Secretary of State

Witness my hand and the seal of the Secretary of
State at Columbus, Ohio, This 2nd day of March
A.D. 2015



A handwritten signature of Jon Husted.

Jon Husted
Secretary of State

EXHIBIT
2